

Multiple Choice (10 marks)

1. ABC Corporation had a 1976 net income of \$1,000,000. If ABC pays 50% taxes, what was its income before taxes?
 - (a) \$2,250,000
 - (b) \$2,750,000
 - (c) \$2,000,000
 - (d) \$1,200,000
 - (e) \$3,000,000
2. Find the total sale in a gas station if a motorist purchases 13 $(6/10)$ gallons of gas at .539 a gallon and 2 quarts of oil at 1.10 a quart.
 - (a) \$4.99
 - (b) \$8.45
 - (c) \$10.53
 - (d) \$11.59
 - (e) \$6.78
3. ABC Trucking Company charges a rate of \$.084 per pound to transport equipment from New York City to Albany. What would they charge to ship a 275-pound washing machine?
 - (a) \$25.50
 - (b) \$22.90
 - (c) \$26.80
 - (d) \$24.30
 - (e) \$23.10
4. James Higley deposits \$2,000 for 2 years in an account that pays 4% per year, compounded quarterly. How much will accumulate, assuming James does not withdraw any of the interest?
 - (a) \$2,128.64
 - (b) \$2,080.00
 - (c) \$2,081.60
 - (d) \$2,200.00

- (e) \$2,100.00
5. What is not an advantage of a hierarchical structure?
- (a) Clear responsibilities and roles
 - (b) Discipline and stability
 - (c) Quick response to change
 - (d) Clear chain of command
 - (e) Promotion opportunities

True / False (10 marks)

Answer True or False

- 6. True or False: The selling price of the stock represents 113.5% of the original cost when sold at a gain of 13.5 percent.
- 7. True or False: The percent increase in brush sales from 927 to 1,059 is 14.239%.
- 8. True or False: The charge for 300 pieces of lumber at 140 per 1,000 board feet is 720.
- 9. True or False: Geographical location is a critical and effective basis for segmenting organizational characteristics.
- 10. True or False: Feedback is a crucial component of the communication process that involves responses from receivers to the sender.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. Calculate the final price of a dress originally priced at \$47.50 after a 30% markdown and a 6% sales tax. Discuss the implications of pricing strategies on consumer behavior.
- 12. In the context of the Vasicek model of interest rates, calculate the short rate r^* that satisfies the pricing relationship given the conditions outlined for $P(r, t, T)$. Discuss the implications of your findings.

End of Paper